

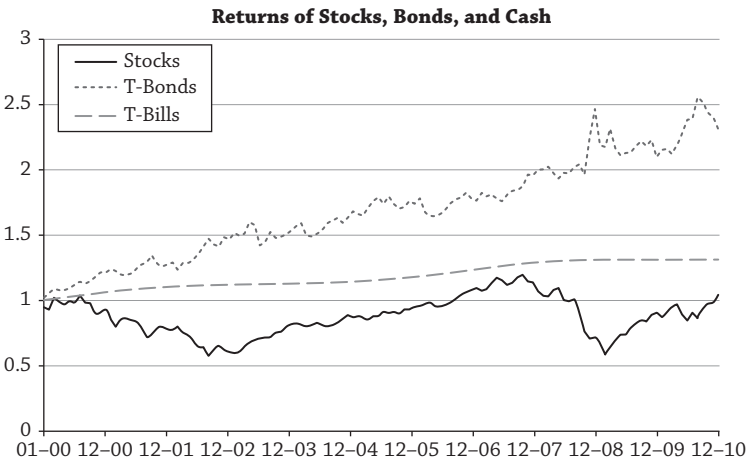


Figure 8.1

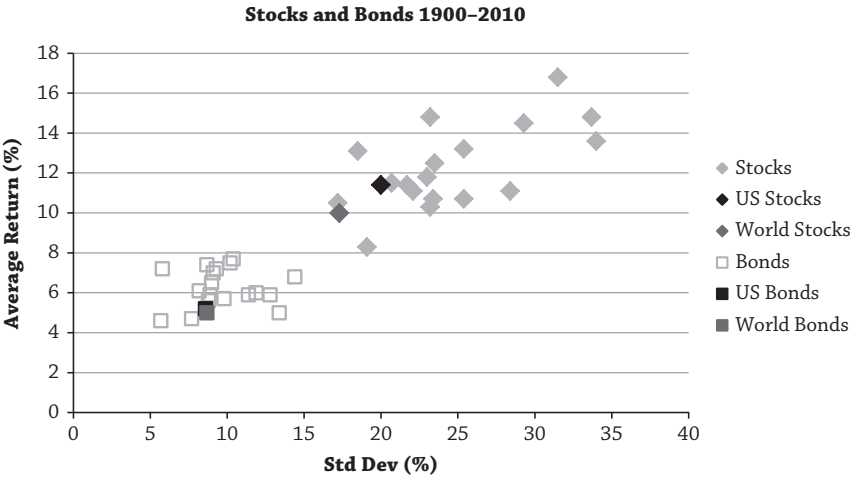


Figure 8.2

Finland, France, Germany, Ireland, Italy, Japan, the Netherlands, New Zealand, Norway, South Africa, Spain, Sweden, Switzerland, the United Kingdom, and the United States. The United States and the world are highlighted separately. Notice in Figure 8.2 how equities around the world congregate toward the upper right-hand corner of the graph, while bonds around the world are grouped together at the lower left-hand corner. Stocks, therefore, have yielded much higher returns than bonds over long periods of time, but with more volatility. In the United States, the equity return has been 11.4% compared to 5.2% for bonds. Equity return volatility was 20.0% compared to 8.6% for bonds. Thus, over the long run, there has been a considerable equity premium in excess of bonds, but it comes with significantly higher volatility.